

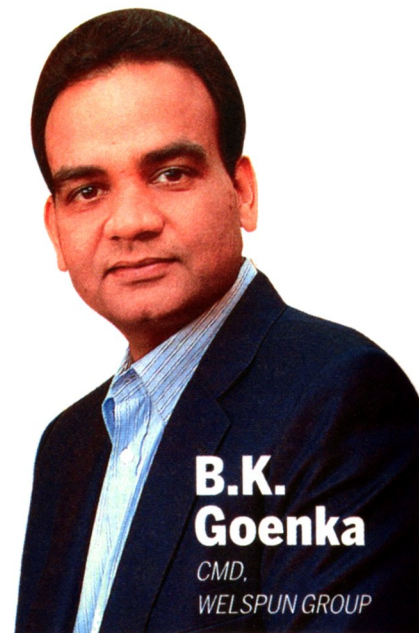


Q & A



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Is the rise in markets and faint glimmer of feelgood factor for real or an illusion?

The rise in the Sensex was mainly because of the confidence of investors in the UPA Government that came back with a thumping mandate. If the Government were to announce bold initiatives to get us back on the growth path then the rise would be here to stay.

Can we say the worst is over for India?

We will have to wait and watch for the actions of the government to conclude if the worst was over. Exports will be a worry till the world economy picks up.

Can the revival of growth in India be decoupled from global horror stories?

No economy can be totally decoupled from the global economy and India is no exception. Any effect on the economies in Europe and the US will have a bearing on Indian exports.

When do you expect the Indian economy to turn around?

It would be difficult to make a categorical statement. But I firmly believe that India would be in a position to turn around the fastest when compared to the other economies of the world, if it takes the right steps.

Are there any signs you would watch out for to signal the return of growth?

Growth in industrial production, business confidence, unemployment index, agricultural production, increase in rural income and FDI inflows are parameters which could possibly signal the return of growth.

The feelgood factor has revived in India due to two factors. First, the end of non-stop bad news from Wall Street for which the Obama Administration must be given credit. Second, strong demand from the rural sector has helped insulate India and revive hope.

Looks like it if we manage to sustain, consolidate and build on demand revival. A big plus has been the election result that has delivered stability and continuity.

Our strong requirement of infrastructure spending, along with rural and semi-urban demand, would mean that India, to a large extent, will be decoupled from the global recession.

In case of India, a turnaround would be achieving a GDP growth of 8 per cent plus again as was the case before the global meltdown. In our opinion, India might have to wait for another year provided there is no new crisis abroad.

The stock markets are supposed to be lead indicators. There are other indicators like revival in demand in core sectors like cement, steel and the desire of entrepreneurs to raise money for capital expenditure.

3 STEPS THE GOVERNMENT MUST TAKE

- Step up investment in infrastructure.
- Go for labour reforms
- Speed up the disinvestment programme.

- Invest in infrastructure to boost demand and create jobs.
- List out pending projects and push fast mile clearances to spur growth.
- Lower interest rates and enable delivery of credit to SMEs and exporters.